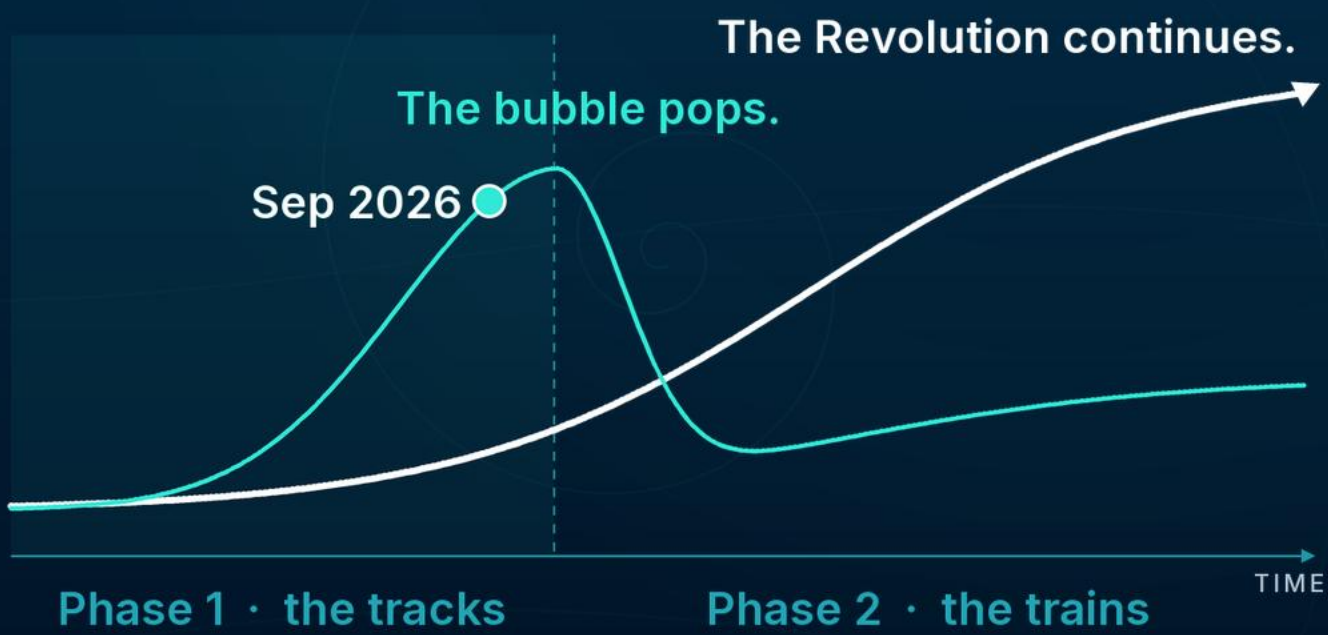
INSIGHT · OCT 2026

Tracks, Then Trains.

Every Technology Revolution is built twice.
Physically in the real world. Financially in the markets.
The bubble can pop while the Revolution continues.

THE VISUAL · AFTER CARLOTA PEREZ

Price and progress are two lines.



The Revolution (white) keeps climbing.
Financial capital (aqua) peaks, pops, re-couples.

Each unfolds the same way.

Installation · Phase 1
Financial capital leads the build-out of the Infrastructure. A frenzy, then a bubble.

The turning point
The crash, followed by a 're-setting' of the rules.

Deployment · Phase 2
Capital is re-focused on productive uses. The Technology spreads through the whole economy.

Every Installation ended in a crash.
Every one laid the tracks for Deployment.

The tracks kept getting laid.

~63% in 1900.

<1% today.

Railroads' share of the US stock market · UBS Yearbook.

The tracks are still running.
The value moved to what rode on top.

The fiber went ‘dark.’

MARCH 2000

Cisco, the world’s most valuable.

~$555B. The picks and shovels led the market.

2000 – 2002

Nasdaq down ~80%. Cisco ~90%.

Global Crossing and WorldCom went bankrupt.

PHASE 2

Google. YouTube. The iPhone.

Built on what Phase 1’s financing ‘left behind.’

Dark fiber made bandwidth ‘cheap.’

Exactly what the trains needed.

The build did not ‘stop.’

~95% down by 2001.

~1,400x since.

~$2 billion in 2001. Nearly $3 trillion today.

A classic winner of Phase 2.
AWS is now part of the next tracks.

AI: the same sequence.

→ **Phase 1: Compute, Energy, fabs**

The tracks. Fiscal and Monetary Policy direct capital here.

→ **It concentrates value, because it has to**

To get the Infrastructure built. National Security and Productivity.

→ **Passive flows concentrate it again**

Every new dollar buys whatever has already gone up.

The Internet required the fiber first.
AI needs the Data Centers first.

THE CONCENTRATION CASCADE · 1970 – SEP 2026

The Concentration Wave is cresting.



Above the Nifty-Fifty. Nearly 2x the dot-com peak.

Built over 30 years.

Look under the hood.

TEN COMPANIES

2% of the S&P 500. ~40% of it.

Almost all focused on AI Infrastructure (Phase 1).

ONE CHOKEPOINT

TSMC in Taiwan.

Almost all depend on it.

THE PHASE 2 WINNERS

Hardly represented at all.

The index owns the track builders.

A concentrated bet on Phase 1.

Know what you own.

THE VALUE MOVES UP THE STACK

Concentrate, then distribute.

PHASE 1 · THE TRACKS

- **Compute, Energy, fabs**
  Value concentrates.
- **The index**
  Owns the builders.

PHASE 2 · THE TRAINS

- **Applications**
  Users, Data flywheels.
- **Production**
  AI in Energy, factories.

As AI gets cheaper, value moves to the users.
The bubble pops. The Revolution continues.

KEEP THIS MAP

Actions to Live Better.

→ **Separate the bubble from the Revolution**

Price from progress. Company from Stock.

→ **Ask: the tracks or the trains?**

Of every headline.

→ **Look under the hood of your index**

See what it actually owns.

Topping is a process.

Tracks, then trains. Infrastructure, then Applications.

DIVE DEEPER

Read the full arc.

Tracks, then trains.

→ THE INSIGHT

Tracks, Then Trains

Railroads, fiber, data centers. The full map.

→ THE CORE

The Multi-Year Mar-a-Lago Accord (Prelude)

The bubble vs. the Revolution.

→ THE CASCADE

Demographics, Decisions, & Destiny (Part III)

How Phase 1 became the index.

Study the past, to understand the present, and shape the future.

WHERE TO FIND US

Follow along.

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